BRANDON LEON — EQUITY RESEARCH
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Vistra Corp. (NYSE: VST)

The Street Has the Earnings. It Doesn't Have the Rate.

Recommendation	Price target	Upside	Last close	Sector / industry	Published
HOLD	$140 (12–18 mo)	+1.2% vs $138.35 (9/30)	$140.02 (Oct 2, 2026)	Utilities / Independent Power	October 3, 2026

We recommend a HOLD on Vistra with a price target of $140, essentially the October 2 close of $140.02. The model is priced at the September 30 close of $138.35; the two-day move changes the arithmetic by about a dollar and the conclusion not at all.

Position disclosure (page 1, house rule): the author holds a long position in Vistra — 25 shares bought September 30, 2026, three days before this report's note was published. As first published the note said no position; the error was found October 20, 2026 in a reconciliation against the brokerage record and corrected in place, with a dated correction on the note. The view, rating and target are unchanged. This document was released October 26, 2026 and incorporates the October 20 corrections.

At a glance			
Market cap	~$47B	52-week range	$132.66 – $217.10
Enterprise value	~$69B incl. preferred	Analyst coverage	19 of 20 Buy; mean target $218 ($106–305)
Net debt / FY26E EBITDA	2.8x (path ~2.3x YE27)	FCFbG yield (2026E)	~9.1% on the Oct 2 close
Ratings	S&P / Fitch IG; Moody's Ba1 stable	Shares out (pro forma)	340.6M (−30% since 2021)
Liquidity	$6.3B	Proof gate	FY27 outlook, Q3 report, Nov 6

Exhibit 1 — Company at a glance. Source: Vistra filings; stockanalysis.com; desk calcs.

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Investment summary (p. 1) · Business description · Industry analysis · Financial analysis · Valuation · The debate · Catalyst calendar · ESG · Risks and kill conditions · Appendices: A Sources · B Statements build · C Peer comparisons · D DCF and relative valuation · E Glossary. 37 numbered exhibits; the released workbook computes every figure from inputs.

INVESTMENT SUMMARY

A hedged power producer at a fair price in a repriced rate world

Vistra is the largest competitive power generator in the country wrapped around the largest retail electricity book, and the business is in better shape than a 36% drawdown suggests: EBITDA grew 31% in the second quarter, 2026 guidance held, and 94% of 2027 output is already sold forward. We agree with the Street on 2026 and 2027 earnings to within 1%. Where we part ways is what those earnings are worth. With the 10-year Treasury at 5.26%, our discount rate is 8.7% and our base-case DCF is $144; the Street's $218 average target requires about 6.5%, and even on the Street's own EBITDA our model reaches only about $161. The open question is 2028, the first year the Texas forward curves really bite, and the consensus number for it sits on our optimistic path. We would buy below about $122.

Key investment highlights

The hedge book buys time: about 100% of expected 2026 output was hedged as of August 3, 94% of 2027 and 72% of 2028. The natural gen-plus-retail hedge survived Winter Storm Uri: retail earned $1.3B while Texas generation lost $236M in a week that bankrupted competitors.

Contracted nuclear changes the mix: Meta took 2,609 MW across three PJM plants for 20 years and AWS took 1,200 MW at Comanche Peak; with the federal 45U production tax credit (~$44/MWh floor through 2032), more than half the operating nuclear fleet now sits under investment-grade frames.

Capacity revenue is locked near the ceiling: PJM cleared at the price cap for the third consecutive auction; Vistra cleared 10,924 MW at $325/MW-day — roughly $1.3B for the 2028/29 delivery year — and the collar runs through 2029/30. The uncapped counterfactual (~$555) is a 2030+ option the market prices at zero.

The buyback works: about $6.5B repurchased since November 2021, roughly 30% of the share count, with ~$1.2B of authorization left and a stated ≥$1B/yr pace plus ~$300M of dividends.

But the price is fair, not stretched — in both directions: every valuation lens we run lands within about 6% of the market price. The pessimistic case is $47 below the stock and requires nothing more than the forward curve being right; the optimistic case is $33 above it.

ABOUT THIS REPORT

This is the institutional edition of the October 3 initiation. The house publishes two deliverables per covered name: a web note (the narrative, with charts, levels and the proof gate) and this report (the full case, with the exhibits, the appendices and the model). Numbers must agree exactly between the two; where they diverge, the report wins. Three artifacts ship together: this 18-page report, a formula-driven workbook whose every output recomputes from stated inputs, and a one-page tear sheet.

Reading conventions: exhibits are numbered sequentially and referenced inline; every exhibit carries a source line, and where the desk computed the figure, a methodology pointer to the appendix or workbook tab that shows the work. Desk assumptions are tagged [A]; estimates [EST]. Every risk carries its kill condition - the observable that converts the rating - and the thesis carries one dated proof gate: the FY27 outlook on November 6. The analysis is as of the October 3 publication (priced September 30); this edition was released October 26 and incorporates the October 20 corrections, which changed wording and the position disclosure, not the rating, target or estimates.

BUSINESS DESCRIPTION

General overview

Vistra owns about 44 GW of generation — 62% natural gas, 20% coal and lignite, 15% nuclear — across Texas (ERCOT), the Mid-Atlantic (PJM), New York and New England, and about 49 GW once the $4.0B Cogentrix acquisition closes later this year. It also sells electricity to roughly 5 million retail customers under TXU Energy and other brands. As of June 30, 2026 the company carried $20.5B of total debt against $435M of cash, with $6.3B of liquidity, on 335.6M shares (Exhibit 11).

The combination is the business. When wholesale prices spike, retail margins compress and the fleet earns more; when prices collapse, the reverse. On top of the natural hedge, management sells generation forward two to three years (Exhibit 3).

Fleet (YE2025: 43,641 MW)	Share
Natural gas	62%
Coal and lignite	20%
Nuclear	15%
Other	3%
Pro forma Cogentrix (late 2026)	~49 GW

Generation fleet by fuel. FY2025 10-K; Cogentrix release.

How it got here matters for how to value it. The 2023 Energy Harbor acquisition added the nuclear fleet that Meta and AWS have now contracted; PJM capacity prices went from $29 to $270 per MW-day and then to the $325–337 cap era; and hedges rolled onto the higher 2023–25 curves. Adjusted EBITDA tripled from $1.94B in 2021 to $5.91B in 2025 while the share count fell roughly 30% (Exhibit 2). The earnings base kept compounding while the stock fell 36% from its 52-week high — that divergence is the valuation question this report answers.

The stress test came in February 2021. Winter Storm Uri bankrupted competitors; Vistra's retail book earned $1.3B in the same week its Texas generation lost $236M. The integrated structure is not a slogan — it is the reason the company was the buyer, not the seller, in the consolidation that followed.

Year	Milestone
2021	Uri stress test; buyback program begins (Nov)
2023	Energy Harbor acquisition adds the nuclear fleet
2025	PJM capacity reprices to the cap era; EBITDA $5.9B
Jan 2026	Cogentrix agreed ($4.0B); Meta PPAs announced
Aug 2026	FERC approves Cogentrix; FY26 guide reaffirmed
Late 2026	Cogentrix close expected; Perry→Meta deliveries begin

Exhibit 2 — How the current company was assembled. Source: company releases and filings.

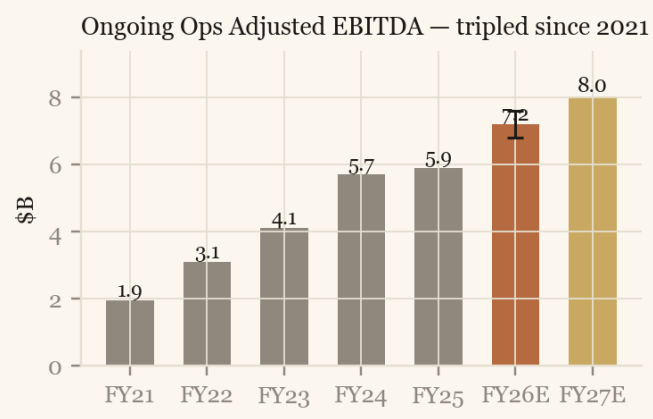


Exhibit 3 — Ongoing Operations Adjusted EBITDA, FY21–FY27E ($B). Source: Vistra releases; FY26 guidance midpoint and range; FY27E desk base incl. Cogentrix. Methodology: Appendix D-2.

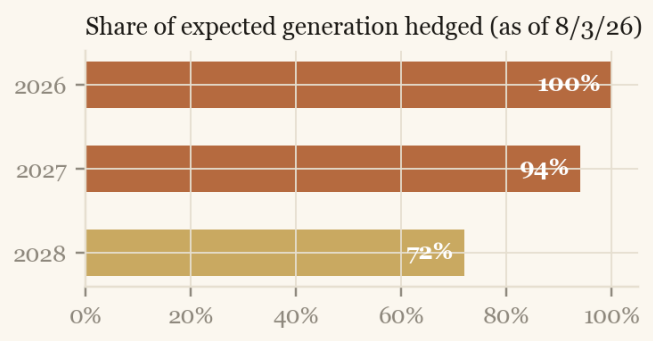


Exhibit 4 — Hedged share of expected generation. Source: Vistra Q2 2026 release (as of 8/3/26).

Corporate strategy

Hedge the merchant, contract the nuclear: two- to three-year forward sales on the fleet, and 20-year hyperscaler PPAs (Meta, AWS) on the nuclear units, put the majority of near-term output at known prices.

Buy scale where it is cheap: Energy Harbor added the nuclear fleet; Cogentrix adds 5.5 GW of gas across PJM, ISO-NE and ERCOT at ~7.25x its 2027 EBITDA contribution (~$730/kW), with FERC approval in hand and close expected late 2026.

Return the rest: ~$6.5B of buybacks since 2021 and a small dividend, against a 2.8x net-debt path heading toward ~2.3x by YE2027.

Segment (Q2'26 Adj. EBITDA, $M)	Value
Retail	773
Texas	311
East	642
West	68
Generation together	~994 (+68% y/y)
Total ongoing ops	1,767 (+31%)

Exhibit 5 — Segment detail, Q2 2026. Source: Vistra Q2 2026 release.

Contracted nuclear	Terms
Meta (PJM: Perry, Davis-Besse, Beaver Valley)	2,609 MW, 20 yrs; deliveries from late 2026, full by YE2027; uprates from 2031
AWS (Comanche Peak)	1,200 MW, 20 yrs + options; deliveries Q4 2027, full ramp 2032
45U nuclear PTC	~$44/MWh effective floor through 2032

Exhibit 6 — The contracted-nuclear layer. Source: Q2 2026 10-Q; company releases.

Cogentrix acquisition	Detail
Price	~$4.0B net: $2.3B cash + 5.0M VST shares + $1.5B assumed debt, less ~$0.7B tax benefits
Assets	10 gas plants, ~5,500 MW across PJM, ISO-NE, ERCOT (~$730/kW)
Multiple	~7.25x expected 2027 EBITDA contribution (~$0.55B)
Status	FERC approved Aug 5, 2026; close expected late 2026; first post-close FY27 guide is the proof gate

Exhibit 7 — Cogentrix terms. Source: Vistra release 1/5/26; Q2 2026 10-Q.

How the hedge book actually works

Management sells expected generation forward two to three years, so a move in the forward curve reaches reported earnings with a lag: 2026 is effectively done, 2027 is 94% sold, and 2028 - 72% hedged, much of it placed after the curve rolled over - is the first year the lower Texas strip lands in size. A 94% hedge ratio on expected generation is not the same as earnings being immune to market prices: volumes deviate from expectations, the unhedged tail reprices, and hedges that settle in future years mark to market through GAAP results ($472M of unrealized losses in Q2 alone).

What the book does buy is time - time for the 2028 strip to recover, for a second data-center contract, or for the audit to clear - before the lower curve compounds. That timing asymmetry is why the scenario tree, not a point estimate, carries the valuation.

The moving part underneath is storage. Batteries now shave the evening scarcity peaks that used to set Texas generator margins - record July load cleared near $57/MWh where management believes pre-storage dynamics could have produced $400-500 - and battery returns have fallen to roughly a fifth of initial expectations, which should slow new supply. Whether ERCOT forwards recover toward the $55-60 of late 2025 before Vistra fills its 2028 book is, in one sentence, the base-versus-optimistic question.

INDUSTRY ANALYSIS

Overview

Independent power producers sell energy, capacity and ancillary services into organized markets (ERCOT, PJM, ISO-NE, NYISO), competing with regulated utilities' merchant arms and, increasingly, with storage. The marginal buyer this cycle is the data center, and the marginal policy question is who pays for the capacity it demands.

The Texas curve rolled over

Between the Q3 2025 and Q2 2026 reporting dates, ERCOT North around-the-clock forwards fell 21% for 2027 and 15% for 2028, while PJM West rose 22% (Exhibit 7). Record Texas demand — an unofficial 91.1 GW peak on July 22 — did not produce record prices, because batteries now shave the evening peaks that used to set generator margins. Management's example: real-time prices settled near $57/MWh at record load, where it believes they could have reached $400–500 without storage.

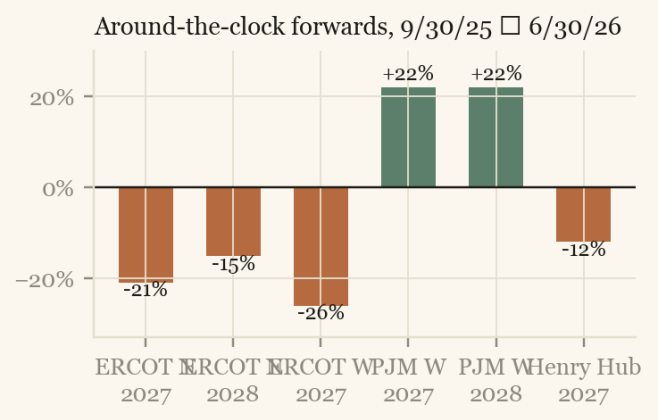


Exhibit 8 — Change in around-the-clock forwards, 9/30/25 → 6/30/26. Source: Vistra Q3'25 and Q2'26 results presentations.

Texas froze the queue

On August 3 Texas paused large-load interconnections pending an audit of ERCOT's ~474 GW request queue, with reports due to the PUCT by December 10. Management argues the queue is overstated by more than 20x and the pause is measured in months; if it hardens into a lasting freeze, the kill list fires (Risk 2). ERCOT's September batch update classified 204 projects / 66.4 GW in the base case.

PJM is capped — and short

PJM cleared at the price cap for the third consecutive auction and 6,831 MW short of the reliability requirement. The cap-and-floor collar runs through the 2029/30 auction ($337.83 cap, posted September 1). FERC unexpectedly delayed PJM's backstop procurement on September 30 over cost-allocation concerns. The capped years are locked revenue; the uncapped world (~$555 counterfactual) is the 2030+ option (Exhibit 8).

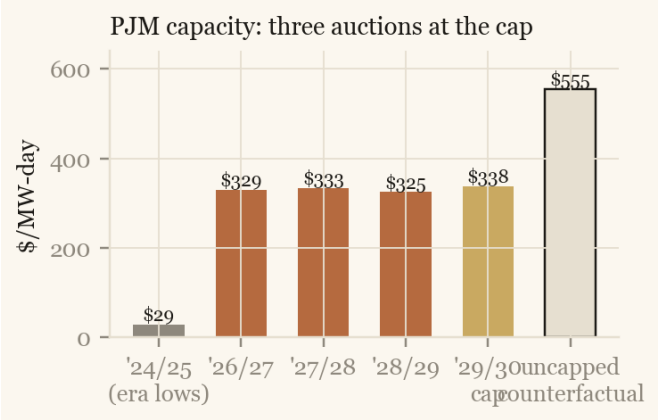


Exhibit 9 — PJM capacity prices by delivery year ($/MW-day).
Source: PJM BRA results; 29/30 cap posting 9/1/26; counterfactual per PJM.

Anatomy of the drawdown

The decline from the 2025 peak decomposes into five dated legs, none of which was the Q2 print: the early-July AI-beta selloff; the July 24–29 ERCOT-curve and price-target-trim leg (−15.5%); the August 4 Abbott-audit gap (−8.2%); the mid-August AI-power derating; and the late-August macro leg. The August 7 earnings report itself closed roughly flat and the stock rallied 5.4% that week. A drawdown attributable to curves, a permitting freeze and the macro — rather than to results — is what a HOLD-at-fair-value setup looks like from the inside.

Leg	Date	Driver
1	Jul 2	AI-beta selloff (recovered into the Jul 14 PJM print)
2	Jul 24–29	ERCOT forward curves + sell-side trims (−15.5%)
3	Aug 4	Abbott audit directive (−8.2%)
4	Aug 17–24	AI-power complex derating; Zacks cut
5	Aug 28	Macro (rates) leg

Drawdown decomposition, peak to trough (−19.7%). Desk ledger, agent-verified against daily closes.

Rates are the industry story

Power producers were priced in 2025 as scarcity assets with bond-like contracts attached. The 10-year Treasury at 5.26% and the 30-year at its highest since 2002 reprice bond-like assets mechanically. Nothing about Vistra's fleet changed between the 2025 peak and now as much as the discount rate did — that is the thesis of this report, and it cuts both ways: lower long rates are the clearest path to the Street's numbers.

FINANCIAL ANALYSIS

Income statement — earnings outlook

Ongoing Operations Adjusted EBITDA tripled from $1.94B in 2021 to $5.91B in 2025, through the Energy Harbor acquisition, PJM capacity prices that went from $29 to $270 per MW-day, and hedges rolling onto the higher 2023–25 curves. Q2 2026 printed $1.77B, up 31%, and FY26 guidance of $6.8–7.6B was reaffirmed, with free cash flow expected at or above the midpoint. Our forecast has $7.20B in 2026 and $8.04B in 2027 — both within 1% of consensus — and $8.19B in 2028, 7% below the $8.79B consensus (Exhibit 9). Revenue is deliberately de-emphasized: for integrated generation plus retail, revenue is hedge and pass-through noise; Q2 revenue fell 5.5% in the same quarter EBITDA rose 31%.

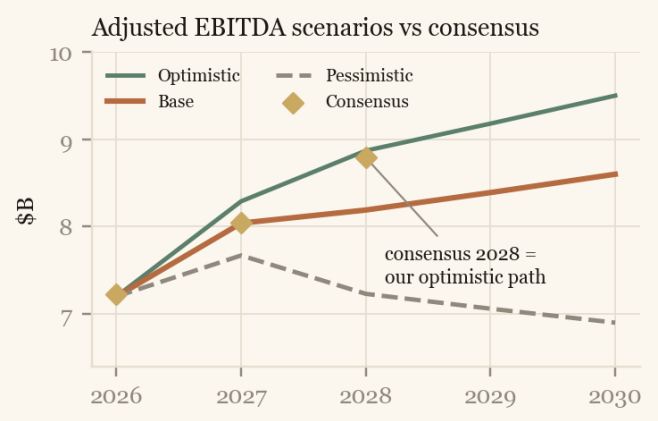


Exhibit 10 — Adjusted EBITDA scenarios vs consensus ($B).
Source: desk model; consensus MarketScreener (9/30). Methodology: Appendix D-2.

$B except per share	2024A	2025A	2026E	2027E	2028E
Adj. EBITDA (ongoing ops)	5.70	5.91	7.20	8.04	8.19
Adj. FCF before growth	—	—	4.33	4.55	4.40
FCFbG / share	—	—	$12.71	$13.54	$13.29
EPS, desk	—	—	$8.48	$10.02	$10.49
EPS, consensus	—	—	$8.62	$10.37	$11.91

Exhibit 11 — Financial summary. Source: Vistra filings; desk model; consensus stockanalysis.com. Methodology: Appendix B.

Balance sheet — capital structure

June 30, 2026: $19.9B of funded debt (including $300M of A/R financing), a $613M Vistra Vision forward repurchase obligation, $2.48B of preferred, $435M of cash — net debt about $20.1B, or 2.8x the guidance-mid EBITDA, with a management path

toward ~2.3x by YE2027. S&P and Fitch have the issuer at investment grade; Moody's is Ba1 stable, with the outlook cut in January reflecting Cogentrix-delayed deleveraging, not deterioration. September's $1.5B of junior subordinated notes (7.00%/7.25%, due 2057) pre-funds redemption of the Series A and B preferred at their October and December reset dates.

Item (6/30/26)	$M
Funded debt (incl. A/R financing)	19,895
Vision forward repurchase obligation	613
Preferred (liquidation)	2,476
Cash	(435)
Net debt	20,073
Net debt / FY26 guide-mid EBITDA	2.8x
Liquidity	6,295

Exhibit 12 — Balance sheet and credit. Source: Q2 2026 10-Q; Q2 release.

Cash flow — generation and deployment

H1 2026 cash from operations was $2.22B against $1.57B of capex including nuclear fuel. Guidance-frame free cash flow before growth of ~$4.3B this year is $12.70 a share — a 9.1% yield on the October 2 close. Deployment: buybacks of 4.97M shares for $778M through August 3 (average $156.57), $1.22B of authorization remaining, and a $0.23 quarterly dividend.

One detail worth sitting with: the average repurchase price this year was $156.57 — management kept buying through levels above today's price. The authorization is expected to be completed by the end of 2027. Against that, September's $1.5B junior-notes raise pre-funds redemption of the Series A and B preferred at their reset dates, swapping 8.0% and 7.0% preferred for 7.00–7.25% hybrids with a 2057 maturity — a liability-management trade, not new leverage.

VALUATION

House rule, stated up front: the intrinsic-value estimate (the DCF) and the 12–18 month probability-weighted price target are different objects. Here they happen to agree — the probability-weighted DCF is $139 and the weighted four-lens target is $140 — which is the finding: the market has done the arithmetic. Full detail in Appendix D; the model workbook released with this report computes every figure from inputs.

Base case — DCF

A ten-year unlevered DCF from Q4 2026 through 2035, mid-year convention. Terminal value blends a 9.0x exit multiple on 2035E EBITDA with a 2.5% Gordon growth at equal weight (the terminal value is ~55% of enterprise value). Cash taxes rise from 4% this year to the 21% statutory rate by 2029 as loss carryforwards run out — the largest single drag on free-cash-flow growth (Exhibit 15). The equity bridge deducts $19.9B of funded debt, $2.5B of preferred, the $613M Vision obligation and $3.8B of Cogentrix cash and assumed debt, less $435M of cash and $700M of acquired tax benefits, over 340.6M pro forma shares.

WACC build	Value
Risk-free (10-yr UST, 9/29)	5.26%
Beta (relevered)	1.32
Equity risk premium (Damodaran)	4.14%
Cost of equity	10.73%
Pre-tax cost of debt	6.2%
After-tax cost of debt	4.90%
Hybrids	7.10%
Weights E/D/H	64 / 33 / 3%
WACC	8.70%

Exhibit 13 — WACC. Source: desk calc; US Treasury; Damodaran. Methodology: Appendix D-5.

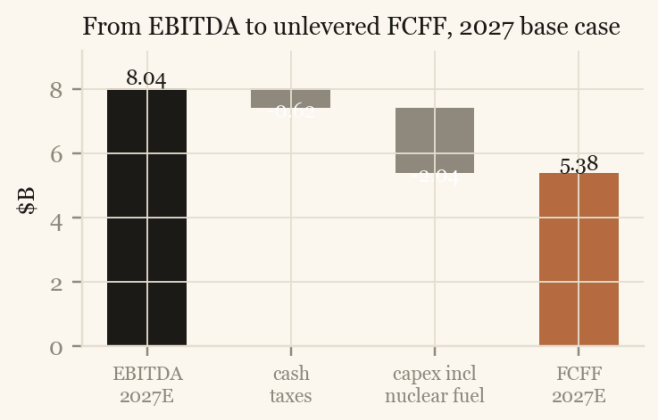


Exhibit 14 — From EBITDA to unlevered FCFF, 2027 base ($B). Source: desk model. Methodology: Appendix D-2.

DCF case	EBITDA '27E → '28E	Prob.	Per share
Pessimistic	$7.67B → $7.23B; Texas curve right; PJM normalizes after 2029	25%	$93
Base	$8.04B → $8.19B; no Texas deal beyond AWS; PJM flat after the cap	50%	$144
Optimistic	$8.29B → $8.87B; second Texas hyperscaler deal; ERCOT recovers	25%	$173
Probability-weighted		100 %	$139

Exhibit 15 — DCF scenarios. Source: desk model. Methodology: Appendix D-2, D-3.

Relative valuation — run as confirmation

Pro forma for Cogentrix, Vistra trades at 9.2x our 2027 EBITDA — below Constellation (12.1x), whose nuclear-heavy fleet earns its premium, in line with Talen (8.9x) and above NRG (7.2x). The 9.4x average of the three listed IPPs implies $146; a free-cash-flow-yield method — 2027 FCF after growth capex and preferred, capitalized at 7% — implies $139; the 14.5x peer-median P/E cross-check implies $145 on our $10.0 of 2027 EPS (Exhibit 16).

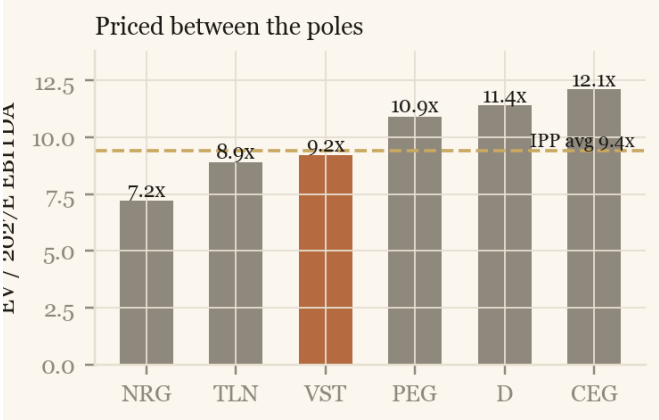


Exhibit 16 — EV / 2027E EBITDA across the group. Source: peer EVs and consensus EBITDA as of 9/30; VST pro forma. Methodology: Appendix C-1.

Reverse DCF — what $218 already assumes

Hold our base-case cash flows fixed and solve for the Street's $218 mean target: it requires either a ~6.5% WACC (blended terminal value, as in the primary DCF) or a 15.1x exit multiple on the 2035 fleet (exit-only terminal value). At Vistra's capital structure, 6.5% implies a cost of equity under 7.5% for a beta-1.3 stock over a 5.3% Treasury; 15.1x values a 2035 fleet of gas and aging nuclear like a regulated utility. Re-run on consensus EBITDA (7.23/8.05/8.79 for 2026–28) the DCF gives about $161 — $17 above our base and still $57 below the Street. We largely agree on the earnings; we disagree on what they are worth at a 5.3% risk-free rate (Exhibit 17).

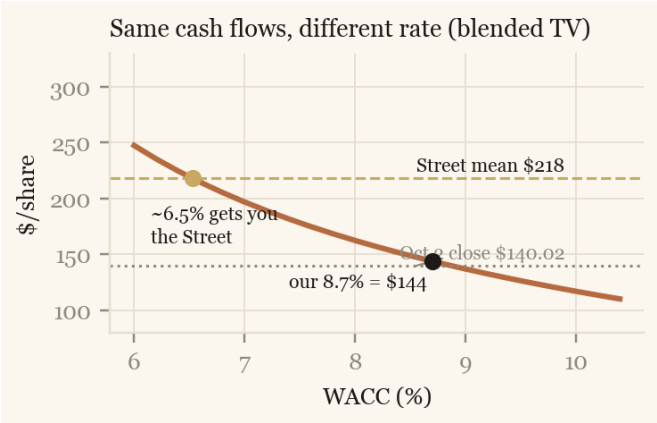


Exhibit 17 — Base-case value per share vs discount rate. Source: desk model (blended TV). Methodology: Appendix D-7.

The weighting, and the number

Method	Value	Weight
DCF, probability-weighted	$139	50%
EV / 2027E EBITDA at the 9.4x IPP average	$146	25%
FCF yield at 7.0% (2027E)	$139	25%
P/E at the 14.5x peer median (cross-check)	$145	—
Weighted fair value → price target	$141 → $140	100%

Exhibit 18 — Four lenses, one number. Source: desk model. Methodology: Appendix D-6.

The weighted fair value is $141, rounded to a $140 target. Every method lands within about 6% of the price — which is the point: the market has done the arithmetic. What it has not priced is the skew. The pessimistic case is $47 a share below the stock and requires nothing more than the forward curve being right; the optimistic case is $33 above it and requires a second hyperscaler contract or an ERCOT recovery. A HOLD with published levels is how we hold that asymmetry honestly.

Two housekeeping notes on the arithmetic. First, the model is priced at the September 30 close of $138.35; the stock's move to $140.02 by October 2 changes the per-share values by about a dollar and no conclusion. Second, each 50 basis points of WACC is worth roughly $11–13 a share near the base case (Appendix D-3), and the sensitivity steepens as the discount rate approaches the 2.5% terminal growth rate — which is exactly where the Street's targets live.

The scenarios as narratives

Pessimistic ($93, 25%): the Texas curve is simply right. ERCOT forwards stay at the post-storage level, the 2028 book fills below $50/MWh, the audit drags past Q1 2027 and no second hyperscaler signs. EBITDA slips from $7.67B in 2027 to $7.23B in 2028 and grinds at 1.6% thereafter; PJM capacity normalizes after the collar. Nothing in this path is a stress case - it is the forward curve taken literally, which is why we weight it 25% and why the stock's $47 of downside to it matters more than the Street's upside.

Base ($144, 50%): the deals close and nothing else goes right or wrong. FY27 lands near $8.04B including Cogentrix and the Meta ramp; 2028 holds roughly flat at $8.19B as lower Texas realizations offset capacity and contract growth; thereafter ~2% growth. PJM stays capped through the collar, no new Texas PPA, cash taxes normalize to 21% by 2029. This is 'consensus on

the business' - our 2026-27 numbers are within 1% of the Street's.

Optimistic ($173, 25%): the December audit clears, a second 1+ GW Texas data-center contract signs, and ERCOT forwards recover toward late-2025 levels before the 2028 book fills. EBITDA reaches $8.87B in 2028 and $9.50B by 2030. Consensus 2028 ($8.79B) already sits on this path - the Street's earnings numbers embed the optimistic operational case, before applying the lower discount rate its targets also require.

Steelmanning the Street

If long rates fall toward 4.5%, our WACC drops toward 8% and the base case is worth about $163 before anything changes in Texas; add a second hyperscaler contract and the optimistic case at that rate is about $195. That is a coherent view and likely how most of the twenty analysts get there. It is also two bets — rates and a contract — stacked on a business we already like. We would rather pay for one of them than both.

Levels

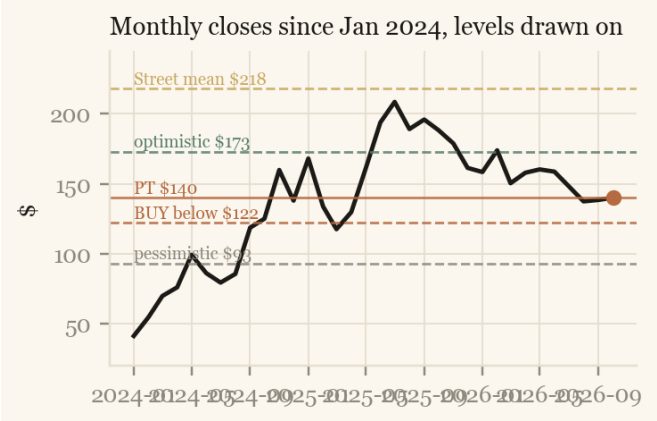


Exhibit 19 — Monthly closes since Jan 2024, levels drawn on.
Source: Yahoo Finance; levels from the model.

Level	Action
Below ~$122	Upgrade to BUY, thesis intact (FY27 guide ≥ $8.1B; no deterioration in 2028 hedge prices)
Near $93	Market pricing the pessimistic case; 2026–30 FCFbG covers ~70% of market value
Above $173	Move to SELL unless a second Texas contract or lower rates lifted the base case first

Exhibit 20 — Published levels. Source: the note, section 6.

THE DEBATE — THE FIVE HARDEST QUESTIONS

Q. It is still a commodity merchant; the 'contracted half' only exists after deals close.

True today — and the bridge is explicit: hedges of ~100/94/72% for 2026–28, capacity revenue locked at the cap through the 2029/30 delivery year (~$1.3B a year for Vistra), and the 45U floor under the nuclear fleet. The contracted mix is signed, dated and FERC-approved; it is arriving, not hypothetical. The valuation question is what to pay meanwhile — which is why the rating is HOLD, not a premium-multiple call.

Q. PJM regulated the upside away.

The collar caps 2028/29–2029/30 capacity at $325–338 against an uncapped counterfactual near $555. Real — and partially offsetting: three consecutive capped auctions establish a floor as well as a ceiling; the market cleared short of the reliability requirement; and the proposed IRAS design would push new large loads into bilateral contracts with exactly the incumbent fleets. The uncapped world is a 2030+ option the market currently prices at zero.

Q. Texas just froze the growth market.

The August 4 gap. Management's counters: Comanche Peak is unaffected, the 474 GW queue is overstated by more than twenty times, and the pause should be measured in months, with the audit due December 10. If management is wrong, Risk 2 fires. If it is right, the freeze culls the speculative queue and pushes real load toward existing steel — incumbents first.

Q. Estimates are falling; this is a falling knife.

Revisions cooled all through August and the FY27 frame is 'trending toward the lower end.' The base case already uses the low end plus the disclosed deals; the framework demands the tested floor (buy below ~$122), not a forecast; and the counterparty buying the lows in late August was the CEO, three times in six sessions.

Q. If the business is this good, why is the rating only HOLD?

Because the discipline is price, not quality. Every lens we run — DCF, EV/EBITDA, FCF yield, P/E — lands within about 6% of the market price. A fair price on a good business is a HOLD with levels: a buy level where the math turns (~$122), and a sell level where it breaks (~$173). The Street's 55% upside requires its discount rate, not ours.

CATALYST CALENDAR

Date	Event	What it decides
Nov 6, 2026	Q3 results + first FY27 outlook frame	THE proof gate: ≥$8.1B incl. deals = ba optimistic in play; <$7.8B = thesis brea
Dec 2026	Perry deliveries to Meta begin	the contracted-mix proof point
Dec 10, 2026	ERCOT audit + community reports due (PUCT)	whether the Texas freeze ends measur
Dec 22, 2026	PJM 2029/30 auction results	the collar's last capped year prices ($3
Late 2026	Cogentrix close (8-K)	starts the clock on the first post-close
Pending	FERC: backstop procurement, IRAS, colocation show-cause	the PJM rule set for 2027+
Q4 2027	AWS deliveries at Comanche Peak energize	second contracted-nuclear leg

Exhibit 21 — Dated catalysts. Source: company disclosures; PJM; ERCOT; FERC dockets.

ENVIRONMENTAL, SOCIAL, GOVERNANCE

Fuel mix is the environmental ledger: 62% gas and 20% coal/lignite against a growing contracted-nuclear layer; the 45U credit and the hyperscaler PPAs reward the zero-carbon fleet. Governance items the thesis actually monitors: the CEO bought ~$1.17M of stock at ~$135 across late August (three purchases in six sessions, Form 4s), after years of selling at $180–210; the CFO and the retail president sold ~$9.8M on September 8 under 10b5-1 plans dated before the drawdown. Moody's outlook (Ba1 stable) turns on Cogentrix-related leverage, not operations. Texas politics — the Abbott audit — and PJM cost politics (Pennsylvania's collar extension) are the social-license risks, and both carry dated checkpoints (December 10; the December 2029/30 auction).

Insider activity (Form 4)	Detail
CEO Burke — buys	2,000 @ $135.00 (8/24); 2,200 @ $135.99 (8/31); 4,465 @ $135.25 (9/1) ≈ $1.17M
CFO Moldovan — sale	20,000 @ $151.03 (9/8), 10b5-1
Retail pres. Hudson — sale	44,444 @ ~$151–153 (9/8), 10b5-1 dated 6/5

Exhibit 22 — Insider ledger. Source: SEC Form 4 filings.

The policy and social-license backdrop

The backlash axis is real and dated. In PJM, roughly 63% of the capacity-price rise has been attributed publicly to data-center load - about $29.4B - and Pennsylvania's governor carried the cap-and-floor collar through 2029/30 with an exit threat as leverage; the next auction prices in December. New York's EO 62 moratorium shows what harder politics look like. In Texas, SB6 gives ERCOT curtailment protocols and financial obligations over large loads, and the audit's community-impact review (due December 10) is the same politics in administrative form. None of these is a kill condition by itself; the kill conditions are their observable endpoints - a collar tightened below the cap after May 2029, or a lasting connection freeze.

RISKS — EACH WITH ITS KILL CONDITION

Risk 1: The 2028 curve lands as priced. Only 72% of 2028 is hedged, much of it after the curve rolled over. Our base case already sits 7% below consensus for 2028; the pessimistic case is the curve being right the whole way down. *Kill: 2028 ERCOT hedges placed below $45/MWh → HOLD becomes AVOID.*

Risk 2: Texas hardens the freeze. The audit (due Dec 10) could extend the large-load pause past Q1 2027 or touch Comanche-adjacent expansion, cutting the growth market the optimistic case needs. *Kill: A lasting connection freeze past ~Q1'27, or Comanche expansion blocked → thesis break.*

Risk 3: PJM politics tighten the collar. Pennsylvania already extended the cap through 2029/30. A reform that lowers capacity prices after May 2029 removes the locked-revenue floor the base case leans on. *Kill: A PJM reform lowering capacity prices after May 2029 → thesis break.*

Risk 4: A leveraging surprise. Cogentrix already delays deleveraging (Moody's). A second levered deal before 2028 would stack financing risk onto a 2.8x book at a 5.3% risk-free. *Kill: A leveraging acquisition before 2028, or Moody's moving away from IG → thesis break.*

Risk 5: Rates — in either direction. The target is a rate call as much as an earnings call: at a 4.5% 10-year our own base is ~$163. The risk of a HOLD is being right on earnings and wrong on duration. *Kill: No kill; the level framework governs — above $173 the rating moves, not the thesis.*

Proof gate

The 2027 outlook with Q3 results on November 6. At or above $8.1B including Cogentrix and Meta confirms the base case; above $8.3B puts the optimistic path in play; below $7.8B with the deals breaks the thesis.

Consolidated, the thesis-break ledger reads: an FY27 guide below $7.8B including the deals (checked on the first post-Cogentrix-close call); 2028 ERCOT hedges placed below $45/MWh (quarterly hedge disclosures); a PJM reform that lowers capacity prices after May 2029 (the December 2029/30 auction cycle and the FERC dockets); a leveraging acquisition before 2028 (8-Ks); and Moody's moving away from the investment-grade path (rating actions). Each is observable, dated, and sufficient on its own to convert the rating.

APPENDIX A — SOURCES

• Vistra Q2 2026 release and 10-Q (8/7 and 8/10/26): results, guidance, hedges, balance sheet, buybacks, PPAs.

• Vistra FY2025 results and 10-K (2/26/26): EBITDA history, fleet by fuel, segment history including Uri.

• Vistra releases 1/5/26 (Cogentrix), 1/9/26 (Meta); Q4'25 call (AWS); 9/10–14/26 junior notes documents.

• PJM: 2028/29 BRA results report and Inside Lines (7/14/26); 2029/30 cap posting (9/1/26); dockets ER26-3380, ER26-3515.

• ERCOT Board, Batch Zero update (9/14–15/26); Utility Dive on the Abbott directive (8/3–4/26).

• US Treasury par yields (9/29/26); Damodaran implied ERP (9/1/26); FOMC statement (9/16/26).

• stockanalysis.com and Yahoo Finance: prices, 52-week range, consensus targets and EPS; MarketScreener: consensus EBITDA (9/30).

• SEC Form 4 filings (insider activity); Vistra 8-K Item 8.01 (7/14/26, capacity cleared).

• The published note: bpleon.com/vst-initiation-2026-10-03 (October 3, 2026; corrections October 20, 2026).

• Methodology note: this report was rebuilt for release on October 26, 2026 from the published note and the desk's verified data reference. The released workbook reproduces the published figures from inputs; where reconstruction rounding differs by a dollar or two (the consensus-EBITDA DCF computes $162 against the published 'about $161'; the terminal-value share computes 55% against the published 56%), the workbook shows its own arithmetic.

The note's footnote ledger, carried over

• fn1 Results and guidance: Q2 2026 release (8/7) — Adj. EBITDA $1,767M (+31%), H1 $3,261M; FY26 $6.8–7.6B EBITDA and $3.925–4.725B FCFbG reaffirmed, management 'at or above the midpoint of both'; FY27 'midpoint opportunity' $7.4–7.8B excl. Cogentrix and Meta; hedges ~100/94/72%; ~$6.5B buybacks since Nov 2021.

• fn2 Q2 2026 call: 2027 trending to the low end on ERCOT curves 'meaningfully lower than October 31st, 2025'; July 22 record-load pricing and the battery commentary.

• fn3 FY2025 results and 10-K: Adj. EBITDA $5,912M; fleet 43,641 MW by fuel; the 2021 Uri segment split (Retail +$1,312M, Texas −$236M).

• fn4 Cogentrix: ~$4.0B net price, 5.5 GW, ~7.25x 2027E contribution, FERC approval Aug 2026, close late 2026.

• fn5 Contracted nuclear: Meta 2,609 MW / 20 yrs incl. 433 MW of uprates; AWS 1,200 MW at Comanche Peak; 45U preserved through 2032.

• fn6 Forward curves: Vistra Q3'25 and Q2'26 decks, ATC forwards as of 9/30/25 and 6/30/26 — ERCOT North 2027 $58.83→$46.26, 2028 $58.88→$50.11; PJM West 2027 $54.72→$66.51.

• fn7 PJM capacity: $329.17 / $333.44 / $325.00 clears for 2026/27–2028/29, the last 6,831 MW short of the requirement; FERC's 9/30 delay of the backstop procurement.

• fn8 Texas: the 8/3 directive pausing large-load energization pending the ~474 GW queue audit; reports due 12/10; ERCOT's 91.1 GW unofficial peak (7/22).

• fn9 Market data: Oct 2 close $140.02; 52-week $132.66–$217.10; 20 analysts, mean $217.58, range $106–$305; consensus EBITDA/EPS MarketScreener; peer EVs as of 9/30.

• fn10 Rates: 10-yr 5.26% and 30-yr 5.59% (9/29); Damodaran implied ERP 4.14% (9/1).

• fn11 Insiders: CEO Burke ~8,665 shares at ~$135–136, late August (~$1.17M), after prior sales at $180–210.

• fn12 Valuation: the full WACC build, TV blend, equity bridge and reverse-DCF arithmetic — reproduced start-to-finish in the released workbook.

Workbook map (vst-initiation-2026-10-model.xlsx)

README (what it is, as-of, disclosure) · Assumptions (every input, color-keyed; [A] marks desk assumptions) · Scenarios (EBITDA paths and the common cost structure) · DCF (all three cases plus the consensus check and the probability weighting) · Reverse DCF (the $218 arithmetic both ways) · Comps (peer set and the four lenses) · Statements (income-statement, cash-flow and balance-sheet builds) · Sensitivity (WACC × exit-multiple grid). Inputs are shaded; every output is a formula. Change an input and the target rebuilds.

APPENDIX B — CONDENSED STATEMENTS BUILD

Methodology: EBITDA is the anchor; revenue is shown for reference only (hedge and pass-through noise in an integrated gen+retail book). Desk assumptions are tagged [A] and live on the workbook's Assumptions tab.

B-1 Supplemental ($M, Q2'26)	Value
Retail / Texas / East / West EBITDA	773 / 311 / 642 / 68
Hedged 2026 / 2027 / 2028	~100% / 94% / 72%
Revenue (consensus) FY26E / FY27E	$22.46B / $23.91B
Uri stress print (2021)	Retail +$1,312M; Texas −$236M

Exhibit 23 — Supplemental financials. Source: Vistra filings.

Adj. EBITDA history ($B)	FY21	FY22	FY23	FY24	FY25	FY26E (guide)	FY27E (desk)
Ongoing operations	1.94	3.10	4.10	5.70	5.91	6.8–7.6 (mid 7.2)	8.04

EBITDA history as originally reported; FY26 is guidance; FY27E is the desk base including Cogentrix. Vistra releases.

B-2 Income statement ($B)	2026E	2027E	2028E
Adj. EBITDA	7.20	8.04	8.19
D&A [A]	(1.85)	(1.89)	(1.92)
EBIT	5.35	6.15	6.27
Net interest [A]	(1.45)	(1.65)	(1.68)
Pre-tax	3.90	4.50	4.59
Tax (21% book)	(0.82)	(0.95)	(0.96)
Net income	3.08	3.56	3.62
Preferred dividends	(0.19)	(0.19)	(0.19)
Net to common	2.89	3.37	3.43
Avg shares (M) [A]	340.6	336.0	331.0
EPS, desk	$8.48	$10.02	$10.49

Exhibit 24 — Income statement build. Source: desk model. Methodology: workbook, Statements tab.

B-3 Balance sheet ($M, 6/30/26)	Value
Funded debt / Vision obligation / preferred	19,895 / 613 / 2,476
Cash / liquidity	435 / 6,295
Net debt; leverage	20,073; 2.8x guide-mid
Pro forma Cogentrix adds	~$2.3B drawn + $1.5B assumed, less $0.7B tax assets

Exhibit 25 — Balance sheet summary. Source: Q2 2026 10-Q.

B-4 Cash flow ($B)	2026E	2027E	2028E
Adj. FCF before growth	4.33	4.55	4.40
Less growth capex [A]	(0.95)	(1.04)	(1.00)
Less preferred dividends	(0.19)	(0.19)	(0.19)
FCF after growth & preferred	3.19	3.31	3.21
FCFbG / share	$12.71	$13.54	$13.29
FCFbG yield on $138.35	9.2%	9.8%	9.6%

Exhibit 26 — Cash-flow build. Source: guidance frame; desk model.

APPENDIX C — PEER COMPARISONS

Methodology (C-1): enterprise values and consensus EBITDA as of September 30; VST enterprise value pro forma for Cogentrix consideration, on our 2027E EBITDA. The lens uses the three listed IPPs (CEG, TLN, NRG); PEG and D are shown for context but are regulated-heavy hybrids.

C-1 EV / 2027E EBITDA	NRG	TLN	VST (pf)	PEG	D	CEG	IPP avg
Multiple	7.2x	8.9x	9.2x	10.9x	11.4x	12.1x	9.4x

Exhibit 27 — Peer multiples. Source: as of 9/30 (fn 9 of the note).

C-2 Lens arithmetic	Calc	Result
EV at 9.4x × $8.04B	$75.6B EV − $25.6B bridge = $49.9B	$146 / sh
FCF-yield	$3.31B (2027E FCFaG, after pref) ÷ 7.0%	$139 / sh
P/E cross-check	14.5x × $10.02 desk 2027 EPS	$145 / sh

Exhibit 28 — Lens arithmetic. Source: desk model. Methodology: workbook, Comps tab.

C-3 P/E ladder (on consensus EPS)	FY26E	FY27E	FY28E
At $140.02	16.2x	13.5x	11.8x
Consensus EPS	$8.62	$10.37	$11.91

Exhibit 29 — P/E ladder. Source: stockanalysis.com consensus; desk calc.

APPENDIX D — DCF AND RELATIVE VALUATION

D-1 EPS build (2027E, $B except per share)	Value
Adj. EBITDA − D&A $1.89 − net interest $1.65	Pre-tax $4.50
Tax at the 21% book rate	($0.95)
Net income − preferred $0.19	Net to common $3.37
÷ 336.0M average shares	EPS $10.02
P/E cross-check: 14.5x × $10.02	$145

Exhibit 30 — EPS build for the P/E cross-check. Source: desk model. Methodology: workbook, Statements tab.

D-2 Base ($B)	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
EBITDA	7.20	8.04	8.19	8.39	8.60	8.77	8.94	9.12	9.30	9.49
Cash taxes	(0.21)	(0.62)	(0.94)	(1.35)	(1.39)	(1.41)	(1.44)	(1.47)	(1.50)	(1.53)
Capex	(2.00)	(2.04)	(2.08)	(2.12)	(2.16)	(2.21)	(2.25)	(2.30)	(2.34)	(2.39)
FCFF	4.99	5.38	5.17	4.92	5.05	5.15	5.25	5.36	5.46	5.57
Pessimistic ($B)	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**	**2032**	**2033**	**2034**	**2035**
EBITDA	7.20	7.67	7.23	7.06	6.90	7.01	7.12	7.24	7.35	7.47
Cash taxes	(0.21)	(0.58)	(0.80)	(1.07)	(1.03)	(1.04)	(1.06)	(1.07)	(1.09)	(1.10)
Capex	(2.00)	(2.04)	(2.08)	(2.12)	(2.16)	(2.21)	(2.25)	(2.30)	(2.34)	(2.39)
FCFF	4.99	5.05	4.35	3.87	3.71	3.76	3.81	3.87	3.92	3.98
Optimistic ($B)	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**	**2032**	**2033**	**2034**	**2035**
EBITDA	7.20	8.29	8.87	9.18	9.50	9.72	9.94	10.16	10.39	10.63
Cash taxes	(0.21)	(0.64)	(1.04)	(1.52)	(1.57)	(1.61)	(1.65)	(1.69)	(1.73)	(1.77)
Capex	(2.00)	(2.04)	(2.08)	(2.12)	(2.16)	(2.21)	(2.25)	(2.30)	(2.34)	(2.39)
FCFF	4.99	5.61	5.75	5.54	5.76	5.90	6.03	6.18	6.32	6.47

Exhibit 31 — DCF forecasts, all three scenarios (Q4'26 contributes 25% of the 2026 column at t=0.125; mid-year convention thereafter; discount at 8.70%; TV blends a 9.0x exit with 2.5% Gordon). Source: desk model. Methodology: workbook, DCF tab.

D-3 exit \ WACC	7.5%	8.0%	8.5%	8.7%	9.0%	9.5%	10.0%
7.0x	$164	$149	$136	$131	$124	$114	$106
8.0x	$171	$156	$142	$138	$131	$121	$111
9.0x	$178	$163	$149	$144	$137	$127	$117
10.0x	$185	$169	$155	$150	$143	$133	$123
11.0x	$193	$176	$162	$157	$150	$139	$129

Exhibit 32 — Sensitivity — base-case value per share (blended TV). Source: desk model. Methodology: workbook, Sensitivity tab.

D-4 Terminal value, base	$B
Exit component: 9.0x × 2035E EBITDA $9.49B	85.4
Gordon: FCFF 2035 $5.33B × 1.025 / (8.70% − 2.5%)	92.1
Blend (50/50)	88.7
PV at t = 9.25	41.0
TV share of enterprise value	~55%

Exhibit 33 — Terminal-value derivation. Source: desk model.

D-5 WACC detail	Value
Cost of equity = 5.26% + 1.32 × 4.14%	10.73%
After-tax debt = 6.2% × (1 − 21%)	4.90%
Hybrids (preferred/juniors blended)	7.10%
WACC = 64% × 10.73 + 33% × 4.90 + 3% × 7.10	8.70%
Beta: peer betas unlevered, averaged, relevered at VST pro	1.32

forma structure	

Exhibit 34 — WACC calculation. Source: desk calc; US Treasury; Damodaran.

D-6 Valuation summary	Pess	Base	Opt	PW
DCF per share	$93	$144	$173	$139
Probability	25%	50%	25%	100%
Four-lens weighted fair value				$141
Published price target				$140

Exhibit 35 — Valuation summary statistics. Source: desk model.

D-7 Reverse DCF / relative valuation	Result
Exit multiple for $218 (exit-only TV, 8.70% WACC)	15.1x
WACC for $218 (blended TV, 9.0x exit)	~6.5%
DCF on consensus EBITDA (26–28: 7.23/8.05/8.79)	~$161–162
Implied CoE at 6.5% WACC, VST weights	< 7.5%

Exhibit 36 — Reverse DCF. Source: desk model. Methodology: workbook, Reverse DCF tab.

APPENDIX E — GLOSSARY AND CONVENTIONS

House conventions

Falsifiability over flourish: every thesis claim is tied to a number someone can check later, every risk to a kill condition, and the thesis as a whole to one dated proof gate. Quotes are verbatim where primary documents or official transcripts are available; other factual claims are sourced in the appendix. Positions are disclosed when real, with direction; the desk separates the published research framework from the author's own execution, and when the two diverge the divergence is logged. Where this report was rebuilt for release after publication, reconstruction differences from the published note are stated rather than smoothed (Appendix A, methodology note).

Term	Meaning here
Ongoing Ops Adj. EBITDA	Vistra's primary non-GAAP earnings measure; excludes discontinued/MTM noise
FCFbG	Adjusted free cash flow before growth — the company's guidance cash measure
FCFF	Unlevered free cash flow (EBITDA − cash taxes on EBIT − capex) — the DCF object
BRA / DY	PJM Base Residual Auction / delivery year (June–May)
45U	Federal nuclear production tax credit; ~$44/MWh effective floor through 2032
IRAS	PJM's proposed Interim Resource Adequacy Service (pending at FERC)
Proof gate	The dated, numeric event that grades the thesis (here: the FY27 guide on Nov 6)
PW	Probability-weighted
[A] / [EST]	Desk assumption / estimate — not a sourced fact
Desk Estimates	Figures computed in the released workbook from stated inputs

Exhibit 37 — Glossary. Source: desk conventions.

Disclosures. This report is research and opinion, published to all readers alike; it is not investment advice for any person. The author holds a long position in Vistra: 25 shares bought on September 30, 2026, three days before the note was published (disclosed by dated correction, October 20, 2026). The author received no compensation for it. AI tools helped draft this report and compute figures; a person checked the load-bearing numbers against their sources. The AI is Claude, made by Anthropic. Past performance is not indicative of future results. See bpleon.com/disclaimer. © 2026 Brandon Leon.